



Image 9.6 – Put Debit Spread in Nifty

The above image shows a 15-minute chart of Nifty, and the price broke the lower channel, and hence a trader decides to take a short trade through put debit spread.

So, he can buy 15800 PE (nearest strike price) and sell 15700 PE (far strike price).

15800 PE price at the time of breakout is 49.65 (Premium Paid)

15700 PE price at the time of breakout is 21.85 (Premium Received)

So, total premium paid is $(49.65 - 21.85) = 27.8$ points